IN THE UNITED STATES DISTRICT COURT
FOR THE EASTERN DISTRICT OF NORTH CAROLINA
WESTERN DIVISION

No. _____

LATEGA POWELL, Plaintiff, v. NORTH CAROLINA DEPARTMENT OF TRANSPORTATION; TUNYA M. SMITH, in her individual and official capacities; TONYA M. MARRIOTT, in her individual and official capacities; KIMBERLY S. PELLOM-FENNELL, in her individual and official capacities; and JOHN ELEY, in his individual and official capacities, Defendants.	)	**COMPLAINT** **(JURY TRIAL DEMANDED)**

Plaintiff Latega Powell, by and through undersigned counsel, complains of Defendants and alleges as follows:

I. NATURE OF THE ACTION

1. Latega Powell is a 62-year-old Black woman who has worked for the North Carolina Department of Transportation ("NCDOT") since March 2017. As a certification officer in NCDOT's then Office of Civil Rights[1] ("OCR"), her job was to police the integrity of the federal Disadvantaged Business Enterprise ("DBE") program — to make sure that the firms receiving federally subsidized set-aside contracts actually qualified for them and met the DBE qualifications.

[1] Since renamed Office of Economic Opportunity and Compliance.

2. She did that job. Between 2019 - 2023, Ms. Powell certified Austin Trucking Co. (Austin Trucking) as a DBE. In March 2023, Ms. Powell was notified by Juan Conde, a colleague, that Austin Trucking was being recommended to the North Carolina DOT Office of the Inspector General (OIG) for investigation into whether they actually qualified as a DBE. He requested Ms. Powell submit certain documentation from the file to OIG which she did. She received the annual renewal request with respect to Austin Trucking in April 2023.

3. Knowing that Austin Trucking was under review by the OIG, Ms. Powell carefully reviewed the file. Austin Trucking was owned by Jacob Austin, who was married to the daughter of Fred Smith, a former NC State senator and influential builder/developer. Austin Trucking had originally been certified in 2010 and repeatedly recertified as a socially and economically disadvantaged business without the documentation the federal regulations require.

4. Gena Brock, an employee who worked as a CPA in the Financial and Internal Audit section of the OIG had identified a concern with the tax records submitted by Austin Trucking that created an issue about whether Austin Trucking was properly certified as a DBE.

5. In addition, Ms. Powell learned that the firm's owner had reported a personal net worth that did not withstand scrutiny when evaluated according to the federal standards for being a DBE and that the documentation accepted by NC DOT prior to Ms. Powell's tenure to support Austin Trucking's certification as a DBE was less than thorough.

6. Ms. Powell raised those concerns in writing to her supervisor, Benny Sloan, and also to the DBE certification consultant NCDOT had retained, and — outside her chain of command entirely — with the United States Department of Transportation. A USDOT CPA consultant later confirmed that the owner's net worth exceeded the program cap.

7. The matter escalated past Ms. Powell's level. Ms. Powell was later instructed by Mr. Sloan to write a letter certifying Austin Trucking, LLC, which she did. After the matter left her hands, Mr. Sloan eventually wrote a letter dated February 15, 2024, to Austin Trucking notifying the company that there were grounds to remove its DBE certification based on Jacob Austin's personal net worth calculated by considering multiple businesses owned by Mr. Austin.

8. Austin Trucking obtained emails written by Ms. Powell and counsel for Austin Trucking wrote a letter dated July 24, 2024, in which he attempted to paint Ms. Powell as biased against Jacob Austin based on his ethnicity. Austin Trucking requested that its suspension as a DBE be retracted and that if not, Austin Trucking requested an informal hearing pursuant to the NC Unified Certification Program (NCUCP) appeals process.

9. On August 9, 2024, Mr. Sloan notified Austin Trucking that it had been summarily suspended as a DBE and that an informal hearing would be scheduled within 30 days.

10. An informal hearing was conducted on October 1, 2024, and on October 31, 2024, Tunya Smith, the Office of Civil Rights Director, and supervisor of Mr. Sloan, wrote Austin Trucking upholding the decision to de-certify it as a DBE based on Austin Trucking's failure to cooperate by refusing to provide additional information about Jacob Austin's personal net worth.

11. On November 14, 2024, Austin Trucking filed a lawsuit in Wake County Superior Court and made Ms. Powell the face of its discrimination theory, even though Ms. Powell had no responsibility for the decision by either Mr. Sloan or Ms. Smith to decertify Austin Trucking for reasons related to Mr. Austin's personal net worth and his refusal to provide requested documentation of it.

12. On June 16, 2025, based on emails obtained by Austin Trucking, NCDOT and following a grievance filed by Ms. Powell as described below, NCDOT, acting through Tunya

Smith and her assistant Tonya Marriott, along with others under her supervision, referred Ms. Powell to Employees Relations supervised by John Eley the Deputy Human Resources Director for investigation This administrative investigation focused on the events of 2023,

13. To find any issue, this investigation reached back more than two years into Ms. Powell's email history between March and July of 2023 when Ms. Powell was performing her job as a DBE certification officer and investigating whether to recertify Austin Trucking.

14. On April 7, 2025, Tunya Smith, Tonya Marriott, and Kimberly Pellom-Fennell, who had replaced Mr. Sloan, met with Ms. Powell and made numerous accusations against her.

15. On April 11, 2025, Ms. Powell reached out to Christine Smith, NCDOT Employee Relations representative, and voiced concerns about an atmosphere of bullying and harassment related to the Austin Trucking litigation based on the April 7, 2025, meeting.

16. On April 22, 2025, Tunya Smith emailed Ms. Powell and provided Ms. Smith's version of the events which occurred at the April 7, 2025, meeting.

17. Ms. Powell received an acknowledgment of her complaint of discrimination on the EEOC on that same date, April 22, 2025.

18. On May 12, 2025, an order was filed in the State Court litigation denying NC DOT's motion to dismiss the complaint based on Ms. Smith's decision to revoke Austin Trucking's DBE certification.

19. On May 15, 2025, Ms. Smith issued Ms. Powell a memorandum placing on her "Investigatory Leave" "to avoid disruption of the workplace and investigate allegations of performance or conduct."

20. On June 16, 2025, Ms. Powell was instructed to return to work and was issued a six-page written warning for "Unacceptable Personal Conduct" — accusing her, a DBE

certification specialist, of violating Title VI and Title VII based on emails about which Smith had known since Austin Trucking quoted them in a letter in July of 2024.

21. The two male colleagues who worked the same file and wrote comparable emails, Benny Sloan (Black male) and Juan Conde (Hispanic male), were not disciplined at all.

22. The retaliation has not stopped.

23. Between June and December 2025, after the written warning was issued, the workplace stress caused severe physical symptoms in Ms Powell including joint inflammation and pain, high blood pressure, fatigue, interrupted sleep, brain fog and vision issues. These symptoms were severe from December 2025 to April 2026 and flared again in June of 2026. These conditions were formally diagnosed in June 2026 as Lupus and fibromyalgia; symptom flares are caused by stress.

24. NC DOT provided incorrect information to Ms. Powell. As a result of Ms. Powell's reliance on this information, the majority of Ms. Powell's 192 hours of compensatory leave expired.

25. During this same time, NC DOT also refused to act on Ms. Powell's request for a thorough job classification review (desk audit). Indeed, this was one of the complaints that Smith voiced about Ms. Powell in the April 7, 2025, meeting: her requests for a classification review.

26. Most recently, in April of 2026, after Ms. Powell returned from FMLA, NCDOT stripped Ms. Powell of the certification duties she had performed for over six years and reassigned her to clerical work — telephoning firms and mailing several hundred certified letters. It revoked her telework eligibility.

27. When after her return in April 2026, the renewed retaliatory workplace harassment and demotion to clerical duties caused Ms. Powell to experience stress which

triggered another lupus flare in June 2026. Ms. Powell was then forced to once again invoke the Family and Medical Leave Act and requested telework as a disability accommodation, NCDOT reversed a telework authorization its own ADA officer had granted and refused to approve the hours she had actually worked. Eventually, after Ms. Powell reached out to HR, the denial was reversed.

28. Ms. Powell brings this action under Title VII of the Civil Rights Act of 1964, the Age Discrimination in Employment Act, the Americans with Disabilities Act, the Family and Medical Leave Act, 42 U.S.C. § 1983, and the North Carolina Whistleblower Act. She seeks back pay, front pay, compensatory and punitive damages, declaratory and injunctive relief, and attorneys' fees and costs.

II. PARTIES

29. Plaintiff Latega Powell is a citizen and resident of Johnston County, North Carolina. She was born on September 23, 1963, and is 62 years old. She is Black and female. At all times relevant to this Complaint she was employed by NCDOT as a career State employee within the meaning of N.C. Gen. Stat. § 126-1.1, and she remains employed by NCDOT today.

30. Defendant North Carolina Department of Transportation is an agency of the State of North Carolina with its principal offices at 1 South Wilmington Street, Raleigh, North Carolina, and a mailing address of 1501 Mail Service Center, Raleigh, North Carolina 27699-1501. NCDOT employs more than 500 employees and is an "employer" within the meaning of 42 U.S.C. § 2000e(b), 29 U.S.C. § 630(b), 42 U.S.C. § 12111(5), and 29 U.S.C. § 2611(4). NCDOT is a recipient of federal financial assistance from the United States Department of Transportation.

31. Defendant Tunya M. Smith is, and at all relevant times was, the Director of NCDOT's Office of Civil Rights. She ordered the administrative investigation of Ms. Powell, signed the June 16, 2025 Written Warning, and is a named defendant in her official capacity in the Austin Trucking litigation described below. She is sued in her individual capacity for damages and in her official capacity for prospective declaratory and injunctive relief.

III. JURISDICTION AND VENUE

32. This Court has subject matter jurisdiction under 28 U.S.C. § 1331 because this action arises under the laws and Constitution of the United States, and under 28 U.S.C. § 1343(a)(3) and (4) because it seeks redress for the deprivation, under color of state law, of rights secured by the Constitution and by Acts of Congress providing for equal rights.

33. This Court has supplemental jurisdiction over Plaintiff's North Carolina Whistleblower Act claim under 28 U.S.C. § 1367(a) because that claim arises from the same case or controversy as Plaintiff's federal claims.

34. This Court is authorized to grant declaratory relief under 28 U.S.C. §§ 2201 and 2202 and Rule 57 of the Federal Rules of Civil Procedure.

35. Venue is proper in this District under 28 U.S.C. § 1391(b) and 42 U.S.C. § 2000e-5(f)(3). The unlawful employment practices alleged in this Complaint were committed in Wake County, North Carolina, where Ms. Powell works at 750 North at Greenfield Parkway, Garner, North Carolina, and the relevant employment records are maintained in Wake County, North Carolina as well. Wake County and Johnston County lie within the Western Division of the Eastern District of North Carolina.

IV. ADMINISTRATIVE EXHAUSTION AND CONDITIONS PRECEDENT

36. On April 20, 2025, Ms. Powell filed an EEO Informal Grievance with NCDOT's EEO Office complaining of discrimination, harassment, and retaliation. On April 22, 2025, she submitted a written complaint and supporting statement to NCDOT Employee Relations representative Christine Smith.

COUNT IX

Retaliation in Violation of the North Carolina Whistleblower Act

N.C. Gen. Stat. §§ 126-84, 126-85 (Against All Defendants)

37. Plaintiff realleges and incorporates by reference every preceding paragraph of this Complaint as if fully set forth herein.

38. North Carolina law declares it the policy of the State that State employees "shall be encouraged to report verbally or in writing to their supervisor, department head, or other appropriate authority, evidence of activity by a State agency or State employee constituting" a violation of federal or state law, fraud, misappropriation of State resources, or gross mismanagement, gross waste of monies, or gross abuse of authority. N.C. Gen. Stat. § 126-84(a).

VII. PRAYER FOR RELIEF

WHEREFORE, Plaintiff Latega Powell respectfully requests that this Court:

A. Issue a declaratory judgment that Defendants' acts, policies, and practices violated Title VII, the ADEA, the ADA, the FMLA, the First and Fourteenth

Amendments to the United States Constitution, and the North Carolina Whistleblower Act;

B. Enjoin Defendants from further retaliation and discrimination against Plaintiff;

C. Order Defendants to expunge the June 16, 2025, Written Warning and all related investigative findings from Plaintiff's personnel file, and to restore her telework eligibility, and her forfeited compensatory time;

D. Order Defendants to conduct the classification review she requested in February 2024;

E. Award Plaintiff back pay, front pay, lost benefits, and prejudgment and post judgment interest;

F. Award Plaintiff compensatory damages for emotional distress, humiliation, loss of enjoyment of life, and physical harm, in an amount to be determined by the jury;

G. Award Plaintiff liquidated damages under 29 U.S.C. §§ 626(b) and 2617(a)(1)(A)(iii);

H. Award Plaintiff punitive damages against the individual Defendants in their individual capacities under 42 U.S.C. § 1983;

I. Award Plaintiff treble damages under N.C. Gen. Stat. § 126-87;

J. Award Plaintiff her reasonable attorneys' fees, expert fees, and costs under 42 U.S.C. §§ 2000e-5(k) and 1988, 29 U.S.C. §§ 626(b) and 2617(a)(3), 42 U.S.C. § 12205, and N.C. Gen. Stat. § 126-87; and

K. Grant such other and further relief as the Court deems just and proper.

JURY DEMAND

39. Pursuant to Rule 38(b) of the Federal Rules of Civil Procedure, Plaintiff demands a trial by jury on all issues so triable.

This the 12th day of September, 2026.

NEW SOUTH LAW FIRM

BY: /s/ Valerie L. Bateman

VALERIE L. BATEMAN
NC State Bar No. 13417
valerie@newsouthlawfirm.com

209 Lloyd Street, Ste 350
Carrboro, North Carolina 27510
Telephone: 919-810-3139

Counsel for Plaintiff Latega Powell